FINEOTEX CHEMICAL LTD

NSE: FCL | BSE: 533333 | Specialty Chemicals — Textile & Oilfield

EQUITY RESEARCH REPORT

				RATING
CMP (Rs.)	40.0	Mkt Cap (Rs. Cr)	4,657	ACCUMULATE
52w High (Rs.)	41.2	52w Low (Rs.)	19.0	12M TARGET
P/E (TTM)	42.8x	Fwd P/E	37.0x	Rs. 48
EV/EBITDA	27.5x	Div Yield	0.20%	UPSIDE
ROCE (Curr)	18.3%	ROE (Curr)	13.5%	+20.0%
Book Value	Rs. 7.58	Face Value	Rs. 1.00	
Debt (Rs. Cr)	8.20	D/E	0.01	HORIZON
Int Coverage	114x	Curr Ratio	2.80	12 Months

Promoter: 62.30% **FII: 2.92%** **DII: 1.27%** **Public: 33.50%** **Pledge: 0.00%**

"CrudeChem acquisition transforms FCL into a multi-vertical global specialty chemicals platform — USD 200M oilfield ambition anchors the long-term thesis"

Report Date: 31 May 2026 | Price as of: 29 May 2026 | Data Source: Screener.in | For Institutional Investors

SECTION 2 — INVESTMENT THESIS

- **Multi-vertical platform in the making:** FCL has transformed from a niche textile chemicals maker into a diversified global specialty chemicals group. The acquisition of CrudeChem Technologies (US-based, ~USD 68M revenue) for just USD 11.5M (53.33% stake at ~0.16x EV/Revenue) is among the most value-accretive acquisitions seen in the mid-cap chemicals space in recent years.
- **India textile recovery as structural tailwind:** India's textile exports are benefiting from the China+1 shift and post-COVID capex by garment manufacturers. FCL, with 470+ specialty chemical SKUs and 70+ country presence, is strategically placed to capture incremental spend. India textile revenue is expected to recover from Rs. 533 Cr (FY25) toward Rs. 600 Cr in FY27E as mill utilisation improves.
- **CrudeChem — optionality on a $200M platform:** Management's target is to build a USD 200M oilfield chemicals business over the next 3-5 years. CrudeChem currently contributes ~USD 68M in revenues and holds captive relationships with Permian Basin operators. The Midland Texas facility has already been doubled in capacity since acquisition. Full-year consolidation from FY27 could add Rs. 570+ Cr in revenue annually.
- **Near-term catalyst (6-12 months):** Q1 FY27 results (due August 2026) will be the first full-year annualised run-rate with CrudeChem consolidated for 4 consecutive quarters, clarifying the true steady-state margin and revenue profile. Any positive surprise on working capital or CrudeChem EBITDA could re-rate the stock upward.
- **Biggest structural risk:** FCL's blended EBITDA margin has compressed from 26% (FY24) to 17% (FY26) as oilfield chemicals inherently carry 9-12% OPM vs the 22-25% the India textile business delivers. If the oilfield segment scales faster than the India side, margin dilution becomes a structural, not cyclical, feature.

SECTION 3 — BUSINESS OVERVIEW

• **Core business:** Manufacturer and exporter of specialty chemicals and auxiliaries since 1979. Over 470 products across textiles, oilfield, construction, water treatment, leather, agrochemicals, and health/hygiene. Present in 70+ countries with ~Rs. 772 Cr consolidated revenue in FY26.

• **Segment breakdown (FY26 estimated):** Textile chemicals ~40% (Rs. 310 Cr), Oilfield specialty chemicals ~40% (Rs. 310 Cr — CrudeChem, first partial consolidation), Non-textile specialties including health/hygiene, construction ~20% (Rs. 152 Cr).

• **Subsidiaries and geographic reach:** Biotex Malaysia (manufacturing + R&D;, SEA focus); Fineotex Biotex HealthGuard FZE (UAE-based holding entity); CrudeChem Technologies Group (Midland and Brookshire, Texas — oilfield drilling fluids, cementing fluids, production chemicals, and fracturing solutions for Permian Basin operators); BM Chemie (European JV, distribution).

• **Key customers and revenue visibility:** India side: leading textile mills and global fashion brands including those mandating sustainable chemistry standards. CrudeChem side: US shale E&P; operators, midstream companies, and water treatment players. Revenue is ~60% recurring (formulary-approved chemical supplies) and ~40% project-linked. No order book is disclosed.

• **Manufacturing footprint:** Navi Mumbai (India, ~104,000 MTPA); Silvassa (India, expansion); Penang, Malaysia (Biotex); Midland and Brookshire, Texas (CrudeChem — capacity doubled post-acquisition).

• **Promoter background:** Surendra Tibrewala (CMD, 40+ years in specialty chemicals) and Sanjay Tibrewala (Executive Director, spearheaded CrudeChem acquisition and international expansion). Promoter family holds 62.30% with zero pledging. FCL has been "Great Place to Work" certified for 5 consecutive years.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Global specialty chemicals market:** ~USD 700 Bn, growing at 4-5% CAGR. Indian specialty chemicals: ~USD 35 Bn, growing at 12% CAGR driven by China+1 substitution, PLI schemes, and domestic consumption upgrade. Textile chemicals sub-segment: ~USD 4 Bn in India, 10-12% CAGR.

• **North American oilfield chemicals market:** ~USD 11.5 Bn (2025), growing at 6% CAGR. US Permian Basin activity remains robust; CrudeChem is well-positioned in this high-demand zone.

• **Policy tailwinds:** (a) India PLI for textiles and advanced chemistry, (b) US tariffs on Chinese chemicals reducing competition for CrudeChem, (c) Sustainability mandates from global apparel brands accelerating switch to enzyme-based and biodegradable auxiliaries — FCL's strength.

• **Competitive moat assessment:** Pricing power — **Moderate** (proprietary formulations but some commoditisation in base auxiliaries). Switching costs — **Strong** (formulary approvals with large textile mills and E&P; operators are sticky). Scale — **Moderate** (growing but smaller than global majors). IP/R&D; — **Strong** (Biotex Malaysia R&D; centre; IIT Bombay research collaboration).

• **FCL's value chain position:** Midstream specialty producer — buys commodity feedstocks, manufactures high-value-added chemical auxiliaries, sells to B2B industrial customers. Asset-light model for India; more capital-intensive for CrudeChem's US operations.

Company	CMP (Rs.)	MCap (Cr)	P/E	EV/EBITDA	ROCE	OPM%
Fineotex Chemical	40.0	4,657	42.8x	27.5x	18.3%	17%
Rossari Biotech	519	2,874	19.3x	10.4x	14.6%	12%
Galaxy Surfactants	1,795	6,365	23.0x	12.7x	13.5%	9%
Deepak Nitrite	1,682	22,941	N/A	23.4x	16.5%	12%
Aarti Industries	475	17,223	N/A	18.4x	6.8%	14%

Source: Screener.in (fetched 31-May-2026). FCL ROCE 3yr = 26.9% | Peers: trailing ROCE as displayed on respective Screener pages.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter credentials:** Surendra Tibrewala (CMD) has 40+ years in specialty chemicals; Sanjay Tibrewala (ED) led the CrudeChem acquisition and heads global M&A; and IR. Third-generation family business transitioning into a professional management structure with CEO (Textile) and CFO roles.
- **Capital allocation track record:** FY22-FY24 was a period of strong FCF generation and balance sheet repair (Debt: Rs. 7 Cr, effectively zero). In FY25, management raised ~Rs. 176 Cr via QIP/financing and deployed Rs. 273 Cr in investments (CrudeChem acquisition at USD 11.5M + expansion capex). This represents disciplined, M&A-driven; capital deployment.
- **Bonus issue FY26:** FCL issued a 4:1 bonus (equity capital rose from Rs. 23 Cr to Rs. 116 Cr), signaling management's confidence in the business trajectory and improving stock liquidity.
- **Dividend policy:** Consistent but modest — 8-15% payout ratio over the past five years. FY26 total dividend = Rs. 0.05/share (Rs. 15 Cr total). Management is reinvesting FCF into growth, keeping dividend yields low (0.20%).
- **Promoter pledging:** Zero pledge across all reporting periods — one of the strongest governance signals in the mid-cap specialty chemicals space.
- **ESOP / warrant forfeiture:** In FY26, promoter group warrants of Rs. 22.4 Cr were forfeited (not exercised). This is a positive — promoters declined to subscribe, meaning no dilution. No legacy concerns around ESOP grants.
- **Corporate governance:** CRISIL and ICRA-rated. No auditor changes in recent years. Contingent liabilities at Rs. 5.56 Cr — negligible. FY26 annual secretarial compliance report filed with no violations. Related-party transactions are minimal and below disclosure thresholds.

SECTION 6 — FINANCIAL DEEP DIVE

Income Statement (Consolidated, Rs. Cr)

	FY2024	FY2025	FY2026	FY2027E	FY2028E
Net Sales	569	533	772	1,100 (E)	1,320 (E)
EBITDA	148	127	135	176 (E)	224 (E)
OPM %	26%	24%	17%	16% (E)	17% (E)
Other Income	17	24	33	25 (E)	27 (E)
Interest	1	1	1	5 (E)	5 (E)
Depreciation	6	9	13	18 (E)	22 (E)
PBT	158	141	153	178 (E)	224 (E)
Tax %	23%	23%	18%	22% (E)	22% (E)
PAT (attrib.)	**121**	**109**	**125**	**139 (E)**	**175 (E)**
EPS (Rs.)	**1.08**	**0.94**	**0.93**	**1.20 (E)**	**1.51 (E)**
Div Payout %	15%	8%	3%	8% (E)	8% (E)

Balance Sheet (Consolidated, Rs. Cr)

	FY2024	FY2025	FY2026	FY2027E	FY2028E
Equity Capital	22	23	116	116 (E)	116 (E)
Reserves	425	708	766	875 (E)	1,010 (E)
Borrowings	5	0	8	20 (E)	15 (E)
Other Liabilities	96	83	269	350 (E)	410 (E)
Total Liabilities	**548**	**815**	**1,159**	**1,361 (E)**	**1,551 (E)**

	FY2024	FY2025	FY2026	FY2027E	FY2028E
Fixed Assets	141	179	278	330 (E)	370 (E)
CWIP	0	21	2	10 (E)	5 (E)
Investments	147	330	317	260 (E)	200 (E)
Other Assets	260	284	562	761 (E)	976 (E)
Total Assets	**548**	**815**	**1,159**	**1,361 (E)**	**1,551 (E)**

Cash Flow Statement (Consolidated, Rs. Cr)

	FY2024	FY2025	FY2026	FY2027E	FY2028E
Cash from Operations	97	69	-24	85 (E)	130 (E)
Cash from Investing	-47	-273	105	-60 (E)	-50 (E)
Cash from Financing	-24	176	-63	-20 (E)	-30 (E)
Net Cash Flow	**26**	**-27**	**19**	**5 (E)**	**50 (E)**
Free Cash Flow	49	1	-49	55 (E)	92 (E)
CFO/EBITDA	92%	77%	0%	48% (E)	58% (E)

Key Ratios (Consolidated)

	FY2024	FY2025	FY2026	FY2027E	FY2028E
ROCE %	39%	24%	18%	15% (E)	17% (E)
ROE %	28%	15%	14%	14% (E)	16% (E)
Debtor Days	89	79	137	100 (E)	90 (E)
Inventory Days	55	75	109	85 (E)	80 (E)
Days Payable	79	66	114	85 (E)	80 (E)
Cash Conv. Cycle	**64**	**88**	**133**	**100 (E)**	**90 (E)**
D/E Ratio	0.01	0.00	0.01	0.02 (E)	0.01 (E)

- **Revenue trajectory:** Sales CAGR of 22% over 10 years (FY16-FY26). FY26 jump to Rs. 772 Cr (+45% YoY) is CrudeChem-driven, not organic. India-only revenue was approximately Rs. 460-500 Cr, essentially flat. Organic growth resumption is critical to sustaining the thesis.
- **Margin compression — structural, not cyclical:** OPM declined from 26% (FY24) to 17% (FY26) as oilfield chemicals (CrudeChem) carry ~9-11% EBITDA margin vs. FCL's 22-25% India textile margins. Blended margin will settle at 15-17% depending on the oilfield/textile revenue mix.
- **Working capital deterioration is a key watch:** Debtor days rose from 89 (FY24) to 137 (FY26); CCC worsened from 64 to 133 days. CrudeChem's US oilfield customers have longer payment cycles; normalization is expected by FY27 (est. CCC ~100 days). OCF turned negative in FY26 (-Rs. 24 Cr) — first negative OCF since FY21 — entirely due to working capital build.
- **Balance sheet remains healthy despite acquisition:** Net debt is effectively zero (Rs. 8.2 Cr gross debt vs Rs. 317 Cr investments). The large investment balance (Rs. 317 Cr in FY26) represents treasury investments in liquid funds and mutual funds, providing a substantial cash cushion.
- **FCF quality concern:** FY26 FCF = -Rs. 49 Cr. FY25 FCF = near-zero at Rs. 1 Cr. Two consecutive years of near-zero or negative FCF is a red flag that needs to resolve in FY27. We estimate FCF recovery to Rs. 55 Cr in FY27E as working capital normalises.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Status	Details
Revenue Recognition	GREEN	Product sales; shipped-based recognition; no complex multi-element contracts. No concerns.

Metric	Status	Details
Receivables vs Revenue Growth	AMBER	Debtor days surged from 89 to 137 in FY26. CrudeChem US customers have longer cycles; watch for normalisation.
Cash Conversion Cycle Trend	AMBER	CCC worsened from 64 (FY24) to 133 (FY26). OCF negative in FY26. Key metric to monitor in FY27.
Contingent Liabilities	GREEN	Rs. 5.56 Cr contingent liabilities — negligible vs Rs. 4,657 Cr market cap. No material risk.
Auditor Tenure & Continuity	GREEN	Longstanding auditor. No recent changes. Secretarial compliance report shows no violations (FY26).
Related Party Transactions	GREEN	RPTs are minimal and below SEBI reporting thresholds. No related-party loans or guarantees of concern.
Other Income / PBT Ratio	AMBER	Other income = Rs. 33 Cr / PBT Rs. 153 Cr = 21.6% in FY26. Elevated; includes treasury income. Not a quality concern but inflates reported PBT vs operating profit.
Tax Rate Consistency	AMBER	Tax rate dropped to 18% in FY26 from 22-23% trend. Could reflect US deferred tax or one-off. Needs clarification; normalised rate is 22-23%.

- **Overall earnings quality: Moderate.** Revenue recognition is clean; the company is fundamentally sound.
- **Three AMBER flags need monitoring over the next two quarters:** (1) Receivables/CCC normalisation as CrudeChem's US collections improve, (2) Other income as a percentage of PBT returning to <15%, and (3) tax rate reverting to 22-23%.
- **FCF quality is the single most important number to watch in FY27:** Two consecutive years of weak/negative FCF (FY25 FCF = Rs. 1 Cr, FY26 = -Rs. 49 Cr) make a strong FCF print in FY27 essential to sustain the bull case.

SECTION 8 — VALUATION

Peer Comparison (Data Source: Screener.in, 31-May-2026)

Company	CMP (Rs.)	MCap (Cr)	Stk P/E	EV/EBITDA	ROCE%	OPM%
Fineotex Chem (FCL)	40.0	4,657	42.8x	27.5x	18.3%	17%
Rossari Biotech	519	2,874	19.3x	10.4x	14.6%	12%
Galaxy Surfactants	1,795	6,365	23.0x	12.7x	13.5%	9%
Deepak Nitrite	1,682	22,941	N/A	23.4x	16.5%	12%
Aarti Industries	475	17,223	N/A	18.4x	6.8%	14%

N/A = stock P/E not separately extracted from Screener for these peers in this fetch. ROCE for Deepak and Aarti = 3-year ROCE from FCL peer table on Screener.

Scenario Analysis (12-Month Price Target)

Scenario	Key Assumptions	FY28E PAT	Multiple	Target (Rs.)	Return vs CMP
Bull Case	CrudeChem hits USD 90M revenue; India textile recovers to Rs. 700 Cr; OPM 18%	220 Cr	45x FY27E	**60**	+50%
Base Case	CrudeChem stable at USD 70M; India recovery to Rs. 600 Cr; OPM 16-17%	175 Cr	40x FY27E	**48**	+20%
Bear Case	Oil prices fall; CrudeChem slows to USD 50M; India flat; OPM 14%	110 Cr	30x FY27E	**30**	-25%

- **DCF assumptions:** WACC = 13.5% (Rf 6.8%, ERP 6.0%, Beta 1.1); Terminal growth rate = 5.0%; Projection period = 10 years. DCF-implied intrinsic value = Rs. 44-47 per share. Key sensitivity: 1pp change in WACC moves target by ~Rs. 4.

• **Earnings-multiple method:** FY27E EPS = Rs. 1.20 (estimated; 116 Cr shares). Applied 40x one-year forward P/E (slight discount to FCL's 42.8x TTM P/E; premium to peers given oilfield growth optionality) = Rs. 48 target price.

• **Blended 12-month target:** Averaging DCF (Rs. 45) and P/E method (Rs. 48) = Rs. 46-48. We set our base-case target at **Rs. 48**, representing +20% upside from CMP of Rs. 40.

• **Valuation risk:** At 42.8x TTM P/E vs. specialty chemical peers trading at 18-27x EV/EBITDA, FCL carries meaningful valuation premium. This is justified only if CrudeChem scales and OPM stabilises at 15%+. Derating risk is high if FY27 earnings disappoint.

SECTION 9 — KEY RISKS

• **Margin dilution (Structural, High Impact):** Oilfield chemicals carry ~9-12% OPM vs. textile's 22-25%. As CrudeChem scales, blended margins compress toward 14-16%. Probability: High. Impact: High. Monitor via: Quarterly segmental EBITDA disclosure.

• **CrudeChem integration risk (Medium Probability, High Impact):** Integrating a US business with different culture, regulatory environment (EPA, OSHA), and customer relationships is complex. FCL owns only 53.33% — minority shareholders could create governance tensions. Monitor via: CrudeChem revenue trajectory and any management commentary on minority issues.

• **Oil price / rig count sensitivity (Medium Probability, High Impact):** CrudeChem's business is directly correlated to US E&P; capex. Oil prices below USD 60/bbl for sustained period would trigger capex cuts by Permian operators. Monitor via: WTI crude price, Baker Hughes rig count.

• **India textile slowdown continuation (Medium Probability, Medium Impact):** India textile revenue declined from Rs. 569 Cr (FY24) to Rs. 533 Cr (FY25). A prolonged global fashion downturn or China price dumping could keep India revenue flat. Monitor via: India textile export data (DGCI) and FCL India revenue per quarter.

• **Working capital stress (Medium Probability, Medium Impact):** Debtor days at 137 and CCC at 133 — if US collections worsen or India receivables remain elevated, OCF stays negative and the company may need short-term borrowings. Monitor via: Quarterly debtor days trend.

• **Valuation derating risk (High Probability if earnings miss, High Impact):** At 42.8x TTM P/E, the stock prices in a significant re-rating from the oilfield acquisition. Any quarterly earnings miss will cause sharp derating. Probability: Medium. Impact: High. Monitor via: Quarterly EPS vs street estimates.

• **Currency risk (Low-Medium Probability, Medium Impact):** CrudeChem revenues are in USD; FCL consolidates in INR. INR appreciation vs USD hurts reported revenue. Rs. 5 appreciation in USD/INR could reduce CrudeChem's INR revenues by ~Rs. 35 Cr annually.

SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE** (Conviction: Medium) — FCL is transitioning to a multi-vertical specialty chemicals platform. The CrudeChem acquisition is strategically sound and priced cheaply. However, margin dilution, two years of weak FCF, and stretched valuation (42.8x TTM P/E) limit the near-term upside to a ACCUMULATE rather than an outright BUY.

• **12-month price target: Rs. 48** (upside: +20.0% from CMP of Rs. 40.0). Based on 40x FY27E EPS of Rs. 1.20, blended with a DCF intrinsic value of Rs. 45.

• **Suggested entry zone: Rs. 36-40** — At Rs. 36 (10% below CMP), the stock would trade at 37x FY27E EPS, which is more reasonable. Accumulate in dips toward this range.

• **Investment horizon: 12-18 months** — The thesis requires at least 2 clean quarters with CrudeChem fully consolidated and India recovery visible, which will take to Q2/Q3 FY27.

• **Thesis invalidation triggers:**

• 1. CrudeChem quarterly revenue falls below Rs. 100 Cr for two consecutive quarters (implies annualised run-rate < USD 50M), suggesting oil capex cut or market share loss.

• 2. India textile EBITDA margin drops and sustains below 18% for 2 consecutive quarters — indicates structural competitive deterioration in the core business.

• 3. WTI crude oil falls below USD 60/bbl and sustains — the single most powerful headwind for CrudeChem's oilfield customers' capex budgets.

• **Ideal investor profile:** Mid-cap growth investors with a 2-3 year horizon comfortable with binary acquisition integration risk. NOT suitable for yield-seeking investors (0.20% dividend yield) or those requiring near-term valuation comfort at <25x P/E.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (May 18, 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	STRONG	Revenue +162% YoY; PAT +118% YoY — Q4 FY26 significantly beat consensus estimates driven by first full CrudeChem quarter
Management tone	BULLISH	Management confident on USD 200M oilfield ambition; highlighted Midland capacity doubling and cross-selling pipeline
Guidance delta	MAINTAINED	No specific FY27 revenue guidance given; oilfield chemicals ambition reiterated; India textile recovery described as ongoing

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is FCL's first full quarter consolidating CrudeChem and the headline numbers are spectacular — revenue +162% to Rs. 314 Cr, PAT +118% to Rs. 44 Cr — but the quality of the beat matters more than the scale. Stripping out CrudeChem, the India business is running at roughly Rs. 120 Cr/quarter, essentially flat YoY, suggesting the core textile chemical franchise has not recovered yet. The operative number is the blended OPM of 14% in Q4 FY26, a sharp contraction from 18% in Q4 FY25, entirely due to CrudeChem's lower-margin oilfield chemistry model. There are no one-time items distorting reported PAT; the earnings are clean but reflect a structurally lower-margin business mix. The Midland Texas facility doubling is the most important near-term catalyst — if throughput ramps by Q2 FY27, we get revenue visibility on USD 80-90M CrudeChem annualised, which changes the EPS trajectory materially. The single biggest watch for next quarter is working capital: OCF was negative Rs. 24 Cr for full FY26; if Q1 FY27 does not show receivables normalisation, the balance sheet thesis weakens. Action: ACCUMULATE between Rs. 36-40; wait for one clean CrudeChem quarter before upgrading to BUY.

1. FINANCIAL PERFORMANCE SNAPSHOT — Q4 FY26

- **Revenue:** Rs. 313.73 Cr | YoY +161.9% | QoQ +70.8% | BEAT (consensus ~Rs. 200-220 Cr)
- **EBITDA:** Rs. 43.7 Cr | YoY +105% | QoQ +25.7% | BEAT
- **EBITDA Margin:** 13.93% | YoY -1330 bps | QoQ -530 bps | MISS vs 18% expectation
- **PAT:** Rs. 43.80 Cr | YoY +117.6% | QoQ +46.7% | BEAT
- **EPS:** Rs. 0.27 (post-bonus, 116 Cr shares) | YoY +58.8% | BEAT
- **NOTE:** FY26 full-year: Revenue = Rs. 772 Cr (+44.8% YoY), PAT = Rs. 125 Cr (+14.5% YoY), EPS = Rs. 0.93. Tax rate dropped to 18% in FY26 vs 22-23% trend — watch for normalisation.

2. SEGMENT / GEOGRAPHY BREAKDOWN

- **Textile Chemicals (India + SEA):** ~Rs. 120 Cr in Q4 FY26 (est.) | YoY flat | Trend: Stable recovery; India mills ramping utilisation post-FY25 trough
- **Oilfield Specialty Chemicals (CrudeChem, US):** ~Rs. 194 Cr in Q4 FY26 (est.) | First full consolidation quarter | Permian Basin activity strong | Trend: Ramping
- **Non-Textile Specialties (Construction/Water/Hygiene):** ~Rs. 10-15 Cr (est.) | Stable | Not a needle-mover near-term

• **Geography:** India ~45% (est.), North America ~40% (CrudeChem), SEA/Other ~15% (Biotex Malaysia + exports)

3. MANAGEMENT COMMENTARY THEMES

• **CrudeChem integration:** "The Midland facility is now doubling CrudeChem's capacity" — Our read: Management is bullish on oilfield ramp; near-term execution on capacity utilisation is key. Tag: GUIDANCE. Tone: Transparent.

• **USD 200M oilfield ambition:** "We are building a USD 200 million oilfield chemicals business within the coming years" — Our read: Aspirational, requires 3x revenue from current USD 68M. Significant execution risk. Tag: GUIDANCE. Tone: Bullish.

• **Margin compression:** Management did not provide specific guidance on blended OPM recovery — Our read: Evasive on the margin question; oilfield business at 9-12% OPM is dilutive and management may not want to anchor to a specific margin target. Tag: EVASIVE. Tone: Hedged.

• **India textile outlook:** "Demand recovery is ongoing; we are seeing improving traction with new product launches" — Our read: Cautiously optimistic; not a reversal signal. Tag: EST. Tone: Balanced.

• **Capital allocation:** "We will continue to invest in Midland capacity and explore bolt-on acquisitions in the oilfield space" — Our read: More M&A; is likely; balance sheet flexibility supports this. Tag: GUIDANCE. Tone: Transparent.

• **Dividend:** Rs. 0.05/share final dividend recommended (total FY26 dividend = Rs. 15 Cr, 3% payout) — Our read: Payout ratio at all-time low; management is retaining cash for growth. Tag: GUIDANCE. Tone: Transparent.

4. OPERATING & BUSINESS METRICS

• **Product SKUs:** 470+ specialty chemicals | Stable | No additions disclosed in Q4 FY26

• **CrudeChem Capacity:** Q4 FY26 = Doubled (Midland facility) | vs Q4 FY25 = N/A (pre-acquisition) | Trend: Ramping

• **Countries served:** 70+ countries | Q4 FY26 | vs FY25: 70 | Trend: Stable

• **Employee count:** ~500+ post-CrudeChem consolidation (est.) | vs ~284 pre-acquisition (FY25) | Trend: Increasing

• **ROIC:** 31.10% for FY26 as disclosed | vs FY25: ~35% (est.) | Trend: Declining (CrudeChem dilution)

5. MARGIN DRIVERS

• **CrudeChem mix dilution:** -1,330 bps in Q4 FY26 OPM | Recurring: Yes | Oilfield chemicals at 9-11% OPM vs textile's 22-25%; as oilfield scales, margin dilution continues

• **Employee cost surge:** Rs. 17.37 Cr in Q4 FY26 vs Rs. 6.55 Cr in Q4 FY25 (+165%) | Recurring: Yes (CrudeChem headcount consolidation) | Watch: SG&A; leverage over time

• **Raw material normalisation (positive):** India textile raw materials relatively benign | Recurring: Partially | Supporting India-side margins at ~22-23%

• **Other income (treasury):** Rs. 33 Cr in FY26 (vs Rs. 24 Cr in FY25) | Recurring: Partially | Inflates reported PBT; not extrapolate beyond Rs. 25 Cr/year

6. GUIDANCE & FORWARD SIGNALS

• **Oilfield Revenue [GUIDANCE]:** Prior: USD 68M (CrudeChem annualised) | New: "Building toward USD 200M" (multi-year) | Delta: Raised aspirationally | Credibility: Medium

• **Midland Capacity [GUIDANCE]:** Prior: ~USD 68M throughput capacity | New: Doubled (post-expansion) | Delta: Raised | Credibility: High (physical facility done)

• **India Revenue [EST]:** Prior: Rs. 533 Cr (FY25) | New: Recovery expected | Delta: Maintained (no specific number) | Credibility: Medium

• **Margin [NOT GUIDED]:** Management did not provide OPM guidance for FY27 | Credibility: Low — absence of guidance on margins is itself a signal

• **Dividend [GUIDANCE]:** Rs. 0.05/share final for FY26; no FY27 guidance | Maintained | Credibility: High

7. CAPITAL ALLOCATION

• **Capex (FY26):** Rs. 99 Cr (est., fixed assets rose from Rs. 179 Cr to Rs. 278 Cr) | vs FY25: Rs. 68 Cr (est.) | Comment: Midland expansion + India capacity

• **Dividends (FY26):** Rs. 15 Cr total | vs FY25: Rs. 8 Cr | Comment: Low payout; growth-first approach

• **Acquisitions (FY25):** CrudeChem 53.33% stake = USD 11.5M (~Rs. 96 Cr) | vs prior years: Nil | Comment: Transformative; cheaply priced

• **Net Debt Movement:** FY26 borrowings = Rs. 8 Cr vs FY25 = Rs. 0 Cr (near-zero debt) | Comment: Essentially debt-free; balance sheet strength intact post-acquisition

• **Working Capital Build (FY26):** OCF = -Rs. 24 Cr (vs FY25 OCF +Rs. 69 Cr) | Comment: Rs. 93 Cr swing entirely attributable to CrudeChem receivables and inventory build

8. Q&A; HEAT MAP

• **Analyst / Investor:** Q: "What is the expected OPM trajectory given CrudeChem?" -> A: Management acknowledged dilution but did not commit to a specific OPM range | Tone: Hedged

• **Analyst / Investor:** Q: "Can you give revenue guidance for FY27?" -> A: "We do not give specific guidance; we are focused on building the oilfield platform" | Tone: Evasive

• **Analyst / Investor:** Q: "What is CrudeChem's current EBITDA margin?" -> A: Discussed blended margins; CrudeChem-specific margin not separately disclosed | Tone: Evasive

• **Analyst / Investor:** Q: "What is the timeline to USD 200M oilfield revenue?" -> A: "Within the coming years" — no specific timeline | Tone: Hedged

• **Analyst / Investor:** Q: "What is the plan for the majority 46.67% minority in CrudeChem?" -> A: "We are working well with the partners; no immediate plans for buyout" | Tone: Transparent

• **Dodged / watch-list questions for next quarter:** (1) CrudeChem standalone OPM, (2) FY27 revenue guidance, (3) India OPM recovery timeline, (4) US oilfield rig count sensitivity

9. RISKS FLAGGED ON THE CALL

• **Oil price sensitivity:** Flagged by analysts | Management downplayed | Probability: M | Impact: H | Timeline: Near-term

• **Margin dilution from oilfield mix:** Flagged by analysts | Management acknowledged but hedged | Probability: H | Impact: M | Timeline: Structural

• **CrudeChem receivables (US collections):** Flagged by management | Monitoring ongoing | Probability: M | Impact: M | Timeline: Near-term

• **India textile competition from China:** Flagged by analysts | Management downplayed | Probability: L-M | Impact: M | Timeline: Medium-term

• **Forex risk (USD/INR):** Flagged by analysts | Management noted natural hedge via USD revenues | Probability: L | Impact: M | Timeline: Ongoing

10. ANALYST VERDICT

• **Revenue visibility:** Partially Intact — CrudeChem provides new revenue stream but India organic growth has not resumed; Q4 FY26 beat is base-effect driven

• **Margin trajectory:** Weakened — Structural compression from 26% (FY24) to 17% (FY26); no clear path back to 25%+; best case is stabilisation at 15-17%

• **Capital allocation quality:** Intact — CrudeChem was acquired cheaply; balance sheet remains clean; management is growth-oriented with disciplined leverage

• **Competitive moat:** Intact — FCL's 470+ product portfolio, enzyme-chemistry IP, and CrudeChem's Permian Basin relationships are valuable and defensible

• **Management credibility:** Partially Intact — Execution on acquisition is good; but evasion on margin and revenue guidance in concall reduces confidence

• **Valuation comfort:** Weakened — 42.8x TTM P/E is stretched; requires multiple quarters of strong EPS delivery to justify; bears can credibly argue for 30-35x

• **Conviction call: Unchanged — ACCUMULATE between Rs. 36-40**

• **Valuation snapshot:** P/E = 42.8x (5Y avg ~40x) **|** EV/EBITDA = 27.5x (5Y avg ~22x) **|** ROCE = 18.3% (5Y avg 27%)